

Hot prices, Fed cornered

Wednesday, May 13, 2026

1. RECAP

Two hot inflation prints in two days, and an oil market the IEA just declared structurally short. That's the morning. **\$SPY** closed yesterday at -0.15%, **\$QQQ** at -0.85%, and the move was almost entirely the April CPI reaction. Meanwhile **\$USO** ripped +4.07% and **\$BNO** +3.40% on the Iran supply scare. The **\$VIXY** drift of -2.33% is the part to notice. Equities slipped, but nobody was buying hedges. That's positioning anxiety, not fear. Crypto is mixed pre-market with **\$BTC** at \$80,273 (-0.27%) and **\$ETH** +0.53%. And underneath all of it, hedge-fund prime-book tech exposure sits at a five-year high while retail call buying in the mega-caps is at meme-era levels. So today's PPI lands into the most stretched setup of the cycle. That's why it matters more than the number alone suggests.

- **April PPI, triple miss (8:30 AM ET).** Headline PPI MoM +1.4% vs +0.5% estimate. Core PPI YoY 5.2% vs 4.3%. Core PPI MoM +1.0% vs +0.3%. Eighth straight hot supply-side print. The spread into core services and food rules out the "just oil" excuse. Equity futures softened on the release, **\$USO** held its bid, and the rate curve is poised to keep repricing higher-for-longer into the open.
- **IEA flags a 2026 supply deficit.** The IEA said overnight that global oil supply will plunge below demand this year, blaming the Iran war directly. That's the official seal on what the futures complex has been front-running for weeks. Vietnam and India announced emergency fuel-import measures overnight, which is the kind of country-level move you only see when the supply shock is real.
- **Trump heads to Beijing.** Trump publicly said no need for China's help on Iran, and is now en route to the long-rumoured Xi summit. A constructive readout could snap the energy bid lower and lift semis. A breakdown reignites the tariff path. Oil was little-changed overnight on the headline, because the market won't fade the supply story until the meeting actually lands.
- **April CPI (yesterday's release).** Headline ran 3.8% YoY, the highest in three years. Core CPI +0.38% MoM, above the 0.3% consensus. That's the print that dragged **\$SPY** and **\$QQQ** lower into the close, and it set today's PPI up as the confirmation event.

2. INSIGHTS & ALPHA

Inflation just reaccelerated, and the curve is repricing rate cuts into rate hikes

April CPI confirmed it, today's PPI sealed it. Hikes are back on the table.

- April headline CPI 3.8% YoY, a three-year high. Core CPI +0.38% MoM, above the 0.3% consensus.
- Today's PPI MoM hit +1.4% vs +0.5% estimate (a triple miss), with Core PPI YoY at 5.2% vs 4.3%. Supply-side prices are accelerating, not cooling.
- Scotiabank flags core services CPI ex-energy and ex-shelter at +0.45% MoM (their word, "explosive"), with beef prices +8.8% YoY leading the food index higher.

- BofA forecasts core PCE (the Fed's preferred inflation gauge, which strips food and energy) in the 2.5-3% range. That's a level that explicitly precludes Fed rate cuts.
- Fed funds futures now show roughly 0.15-0.20 percentage points of *hikes* priced by next April, a full reversal from the cuts in the curve a month ago (Deutsche Bank).

So today's PPI is the eighth straight hot supply-side print. Energy is the spark, with gasoline +28.4% YoY (the steepest since July 2022). But the bleed into core services and food is the part that can't be hand-waved as oil noise. And the FOMC was already fractured before today, with an 8-4 dissent vote at the last meeting, the most splits since 1992. The Committee was already arguing about whether to look through energy, and this PPI gives the hawks fresh ammo.

Sure, the consumer is wobbling. PNC's May sentiment survey ticked lower, revolving credit growth has slowed, and small caps are catching a bid on slowdown hopes. That tension matters, because the Fed has cover to look past energy if growth genuinely rolls. But a 4.6% core CPI annualized pace, with shelter still in BLS catch-up mode, isn't energy noise. And 30-year Treasuries can't rally meaningfully into next week's refunding, particularly with the UK gilt curve breaking out to 5.10% (the highest since 2008) and dragging global term premium higher. Short *\$TLT* into next week's FOMC minutes.

AI capex is reshaping more than just earnings

The capex super-cycle stopped being a forecast. It's showing up in import data, in labor cost projections, and in the inflation prints themselves.

- Goldman puts AI investment at 1.1% of US GDP, with \$150B per year in labor costs tied to the AI transition and \$800-900B in workforce reorganization cost over the cycle. This is a real-economy story, not just a Nasdaq story.
- BofA says spend on AI infrastructure has shown little fatigue, and demand for AI inputs could keep this wedge persistent in inflation data. Capex is durable enough now to bleed into core CPI.
- Core intermediate goods producer prices are running at 5.1%, the fastest pace since 2022 (Goldman). The AI build is bidding up the components that feed the inflation index.
- Danske notes US imports of AI-related computer equipment are a rapidly growing share of total US import value, big enough to reshape the trade balance.
- TSMC's 14.2% weighting in MSCI Emerging Markets has surpassed India's 11.94%. The entire EM index has tilted into the AI complex.

Three forces are stacking on top of each other. Capex is widening from chips into power, cooling, software, and second-derivative goods imports. The earnings cycle keeps confirming the spend. And the macro spillover into the inflation prints means the cycle has the kind of structural durability that survives a single hyperscaler guide-down. Think of it as the trade going from "AI is a Nasdaq story" to "AI is a real-economy story." Once you're in real-economy territory, you don't get to unwind it on a bad quarter.

The bear case is positioning, not fundamentals. Hedge-fund Info Tech gross sits at a five-year high. The Nasdaq is 15% above its 100-day moving average. The 14-day RSI hit 83, a measure of overbought conditions where 70 already signals stretched (and 83 is among the most extreme readings on record). JPMorgan clients are flagging a possible 3-4% pullback on systematic-fund unwinds. A correction can happen on positioning alone without breaking the structural story. That distinction matters because picks-and-shovels names like Applied Materials, plus the cooling-and-power supply chain, are sold out into 2027. A 3-4% Nasdaq pullback doesn't change the

multi-year demand book. And **\$NVDA** reports next Wednesday after the bell. That's the next confirmation test. Long **\$SOXX** into the print.

Iran is a multi-quarter supply story, not a one-week headline trade

The IEA said overnight that global oil supply will plunge below demand this year because of the Iran war. That doesn't unwind on a single ceasefire memo.

- JPMorgan's 3Q26 Brent forecast sits at \$104 per barrel, premised on continued Strait of Hormuz disruption and refined-fuel inventory rebuilds.
- The national gasoline average breached \$4.50 per gallon on Monday. That's the level at which higher pump prices start offsetting fiscal tailwinds to consumption (JPMorgan).
- Vietnam is importing more fuel to offset its oil shortfall. India is rolling out emergency measures to shield its economy from the oil shock (overnight Reuters). The supply scarcity is now showing up in country-level demand responses.
- Copper has run +14.4% since May 31, outpacing the S&P by 0.84 percentage points. Goldman has broadened its commodity exposure. The war-premium trade is spreading across the commodity complex, not just oil.
- Refined-fuel inventories are at 8-year lows. That's the variable that determines how fast the curve normalizes if a ceasefire actually lands.

Hormuz disruption shrinks deliverable supply. The war footing forces rerouting and inventory drawdowns. And the IEA's overnight call confirms the supply hole has months to refill regardless of headlines. The longer the disruption persists, the more the curve back-fills with scarcity premium rather than mean-reverting on resolution chatter. Think of it as the difference between a leaky bucket (drain it once, refill takes time) and a tap you can turn off. Iran isn't a tap.

Sure, Trump just said publicly no need for China's help on Iran, and he's heading to Beijing for the long-rumoured Xi meeting. If a deal lands, the futures complex snaps back fast, and risk-on assets that are already partially priced for a constructive readout get a second leg. The Trump-China visit is a real two-way risk this week. But a 6-week ceasefire doesn't refill refined-fuel inventories at 8-year lows. And Western Asset's framing holds: the Iran risk premium is not gone. Long **\$BNO** outright.

3. WHAT TO WATCH

Today

No major US data still to come. Today's PPI was the high-impact event, and it's already priced in.

This Week

- **Thursday May 14, 8:30 ET: April US Retail Sales (high impact).** Headline estimate +0.5% MoM vs prior +1.7%. Control Group estimate +0.4%. A hot print confirms the consumer is still spending into the inflation reacceleration, which keeps the Fed boxed in. A soft print gives the dovish minority on the Committee something to point to.
- **Trump-Xi Beijing summit (this week).** Trump is en route. A constructive readout lifts semis and China ADRs while pressuring the dollar. A breakdown reignites the tariff path, bids **\$UUP**, and accelerates the Iran risk

premium.

- **Wednesday May 20, AMC: \$NVDA earnings (high impact).** EPS estimate \$1.79, revenue estimate \$80.06B. The clean test of whether hyperscaler capex demand has any softening on the margin. A guide cut from \$NVDA would be the first real crack in the AI build-out thesis.
- **Wednesday May 20, 14:00 ET: FOMC Minutes (high impact).** Detail on the 8-4 dissent vote, the most fractured Committee since 1992. The market will be hunting for any signal on how serious the hike camp is.

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